

IT Financial Management

Client presentation

Gavin Cutler

Principal Product Marketing Manager, Product Marketing

Gavin.cutler@ibm.com

Tracy Yen

Product Marketing Manager, Product Marketing

Tracy.yen@ibm.com

Chanchal Nambiar

Instructional Designer, Customer Experience Team

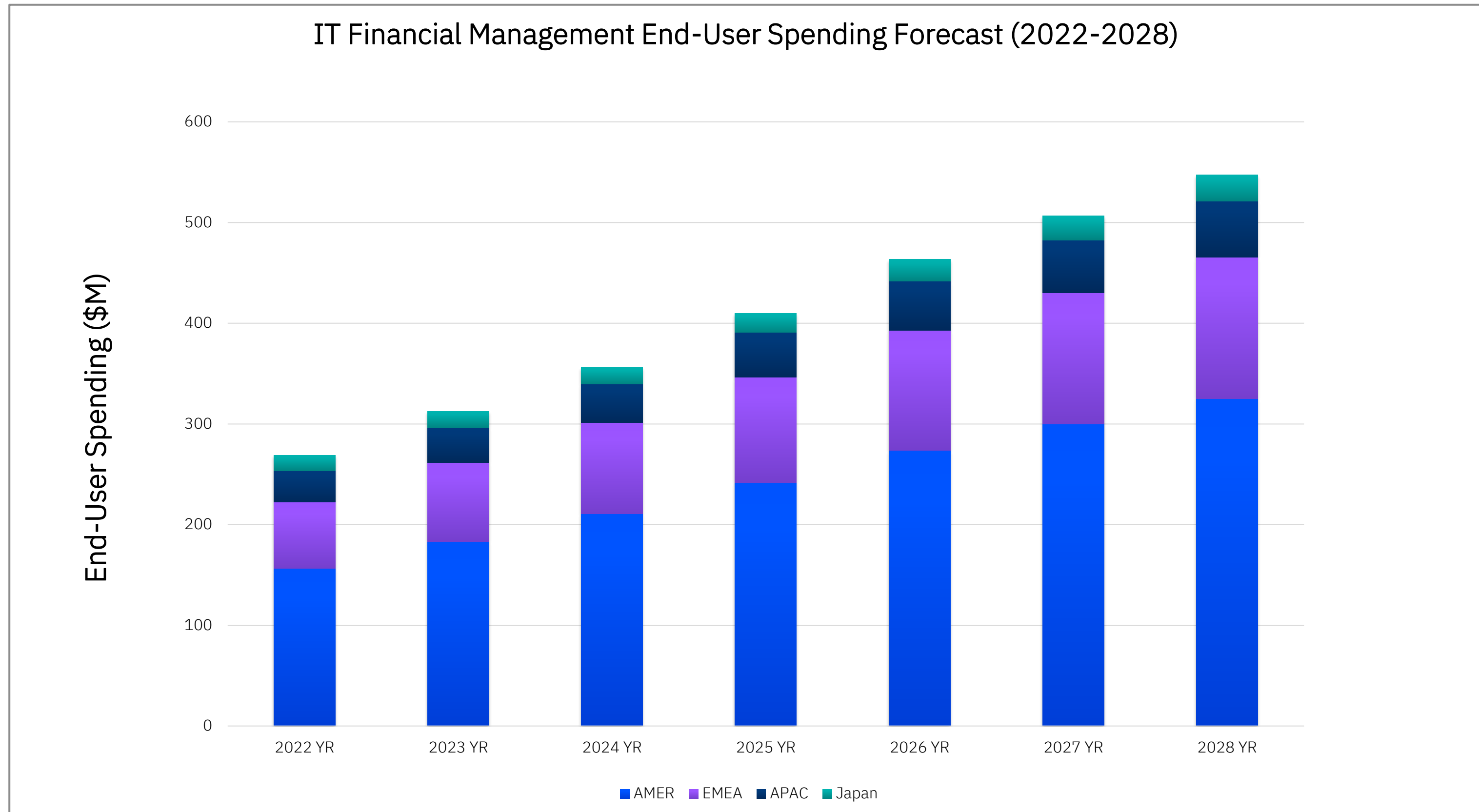
Chanchal.nambiar@ibm.com



IBM Apptio

IT Financial Management

IT financial
management
market
is growing
12% globally¹



Biggest challenge for IT financial management is data

Challenges

Data reliability is a major concern

- Information is scattered across numerous sources
- Inconsistent, outdated, and hard-to-defend data
- Real-time insights are lacking, and errors are common



Impact

Missing out on potential revenue and savings

- Difficulty in justifying IT expenditures
- Decisions are delayed and often reactive
- Missed chances to cut costs or boost efficiency
- Inability to reallocate budget to high-impact, growth-driving areas
- Poor forecasting leads to low confidence in planning¹

High risk of doing nothing

Limited visibility into IT spend

Most IT organizations understand only 40% of their Total Cost of Ownership (TCO), with 62% of CIOs reporting inadequate transparency into IT-related costs.¹

Lack of accountability and strategic alignment

Over-reliance on shared cost allocation models blurs ownership, making it difficult to trace spending or align it with business goals.

Ineffective decision-making

IT service decisions are often driven by contract or procurement cycles rather than business priorities, limiting agility and responsiveness.

Inability to measure ROI and business value

Measuring the ongoing return on IT investments is difficult or impossible, and 63% of CIOs struggle to articulate IT's business value.²

IT's strategic value is overlooked

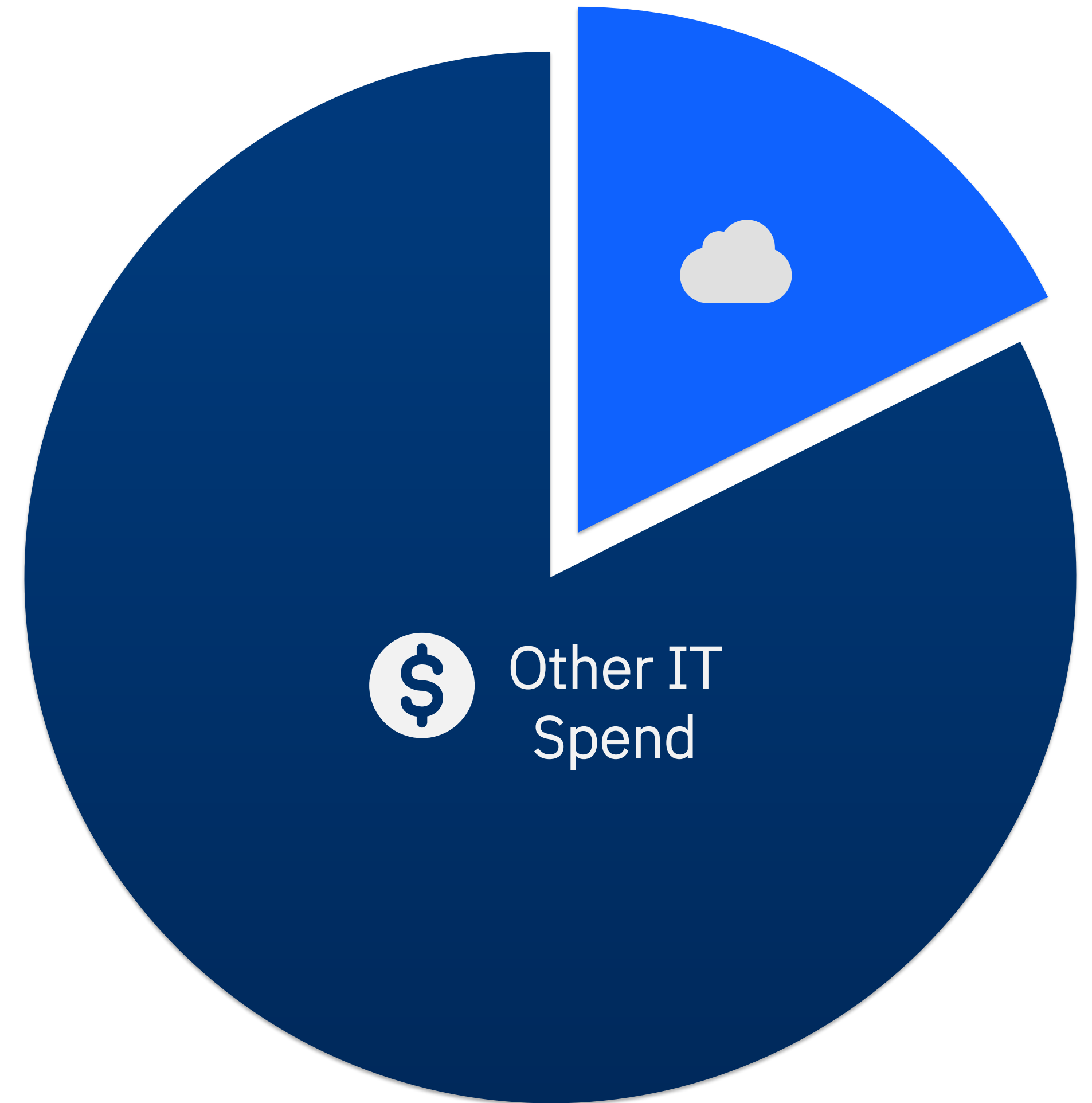
Without clear insights or demonstrated impact, IT is often seen as a cost burden rather than a value-driving partner, despite 92% of CIOs emphasizing the importance of understanding technology's business impact.³

Public cloud is

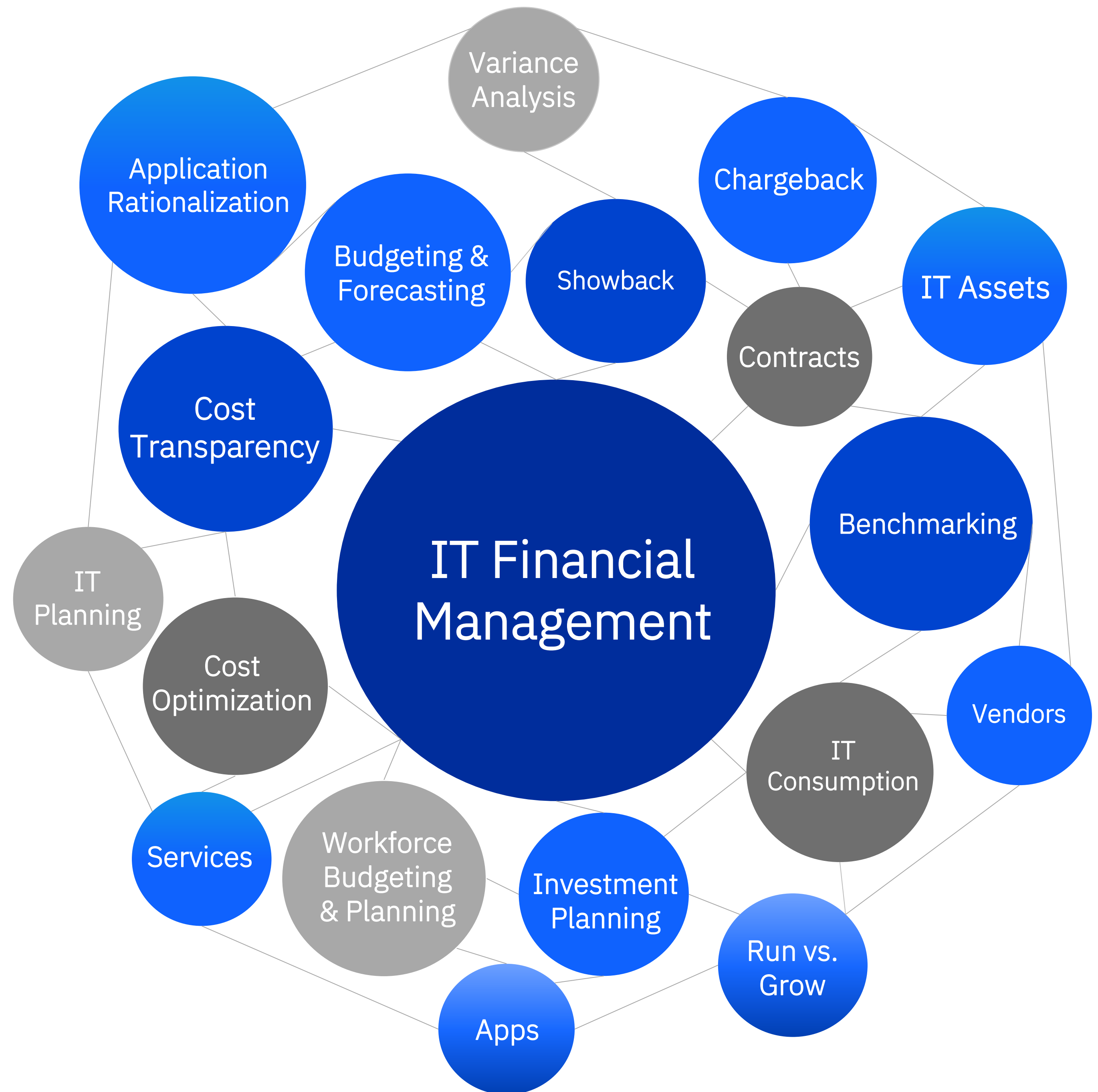
17.6%

How are organizations
managing the other

82.4% of IT costs
and investments?¹



Solve a complex situation with a simplified solution



IT Financial Management

The practice of analyzing, planning and optimizing the costs and investments of IT to ensure financial transparency, alignment of all IT spending with business objectives, and to communicate the value of IT to the business.

ITFM = the right data, in the right way, to the right stakeholders



Organizations are actively adopting IT Financial Management tools to optimize IT costs and investments



ITFM drives insights across organization

Improve cost visibility, prioritize investments, and communicate value

IT executive leadership and IT finance (CIO, CTO, CFO)



- Gain visibility into the total cost of all IT spend and understand the key spend drivers
- Align all IT investments to business objectives and priorities
- Communicate the value of IT to the business
- Benchmark IT spend against relevant peers
- Reduce IT risk to the business

IT leadership and business relationship manager



- Analyze, plan and optimize all IT spend across vendors, contracts, labor, projects, and more
- Understand and communicate the business value delivered by IT investments
- Make informed staffing decisions based on workforce mix and location
- Gain visibility into the business consumption of IT spend
- Manage and shift IT spend from run costs to fund change or grow investments

IT application and service owners



- Gain visibility into the total cost of applications and services
- Identify opportunities for cost optimization and/or redirect spend
- Analyze business consumption of applications and services
- Influence business consumption and drive shared accountability with showback and/or chargeback
- Prioritize and balance business impacting investments

IBM Apptio

The right data, in the right context, at the right time,
in front of the right people

Save money

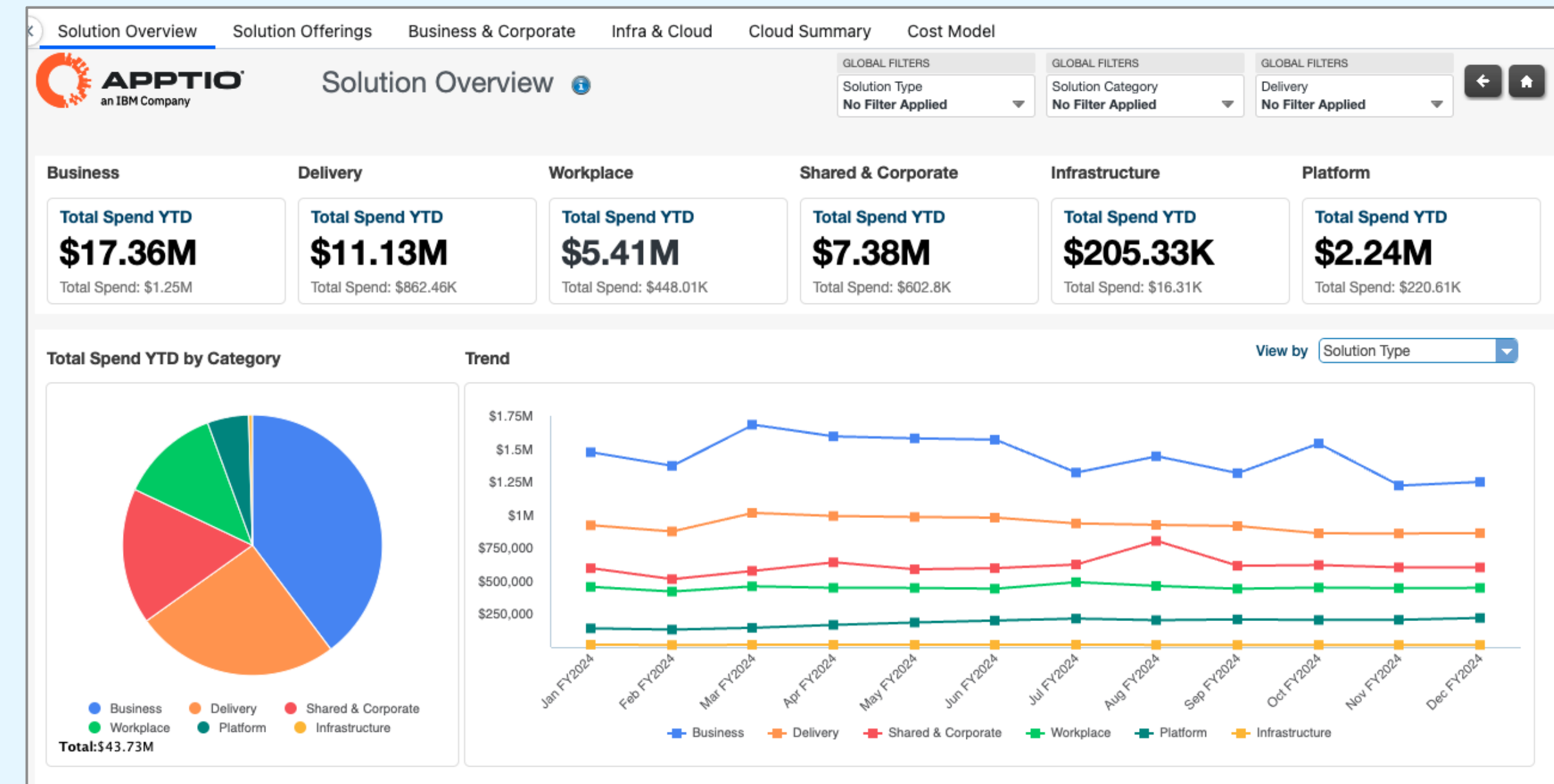
- Identify cost reduction opportunities
- Identify cost optimization opportunities
- Reduce waste and duplication

Make money

- Align IT spend with business objectives
- Shift spend to growth investments
- Accelerate digital transformation
- Grow and scale with IBM Apptio

IBM Apptio is more than just another data solution.¹

It stands as the leading IT Financial Management platform, delivering actionable business intelligence that enables organizations to maximize the value of their IT investments.



Effortless data integration

Available data today is sufficient to begin quickly



Unified integration of IT financial and operational data

Ingest GLs, spreadsheets, CMDB, and asset inventories into a single model for a unified view of IT spend and consumption



Direct ingestion of raw data

Pull data directly from the source and IBM Apptio will connect the dots



Automated data preparation

Cleansing, normalization, and correlation of data are performed automatically by the IBM Apptio platform

Financial



Operational



Labor

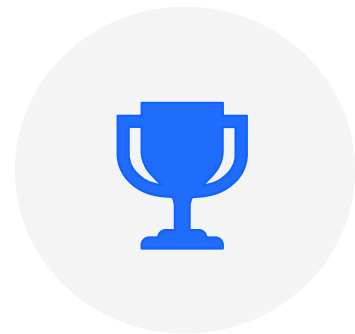


Homegrown



Industry-leading modelling

Cost allocations backed by top organizations



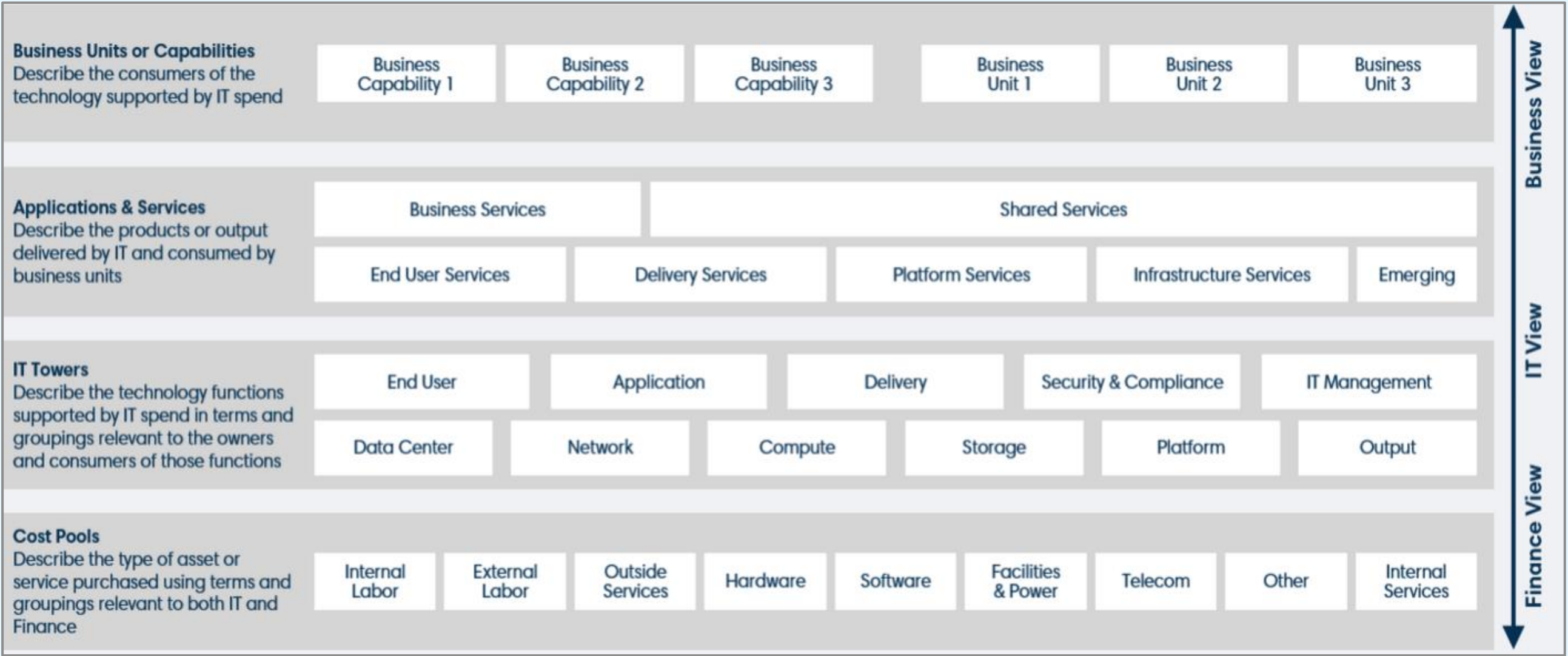
Built on a trusted industry framework

IBM Apptio's proprietary ATUM framework is recognized by the TBM Council as the gold standard for ITFM



Modelling that's tried, tested, and refined

Through 1800+ successful deployments, including at over 60% of Fortune 100 organizations, the modelling is built on best-in-class allocation practices.

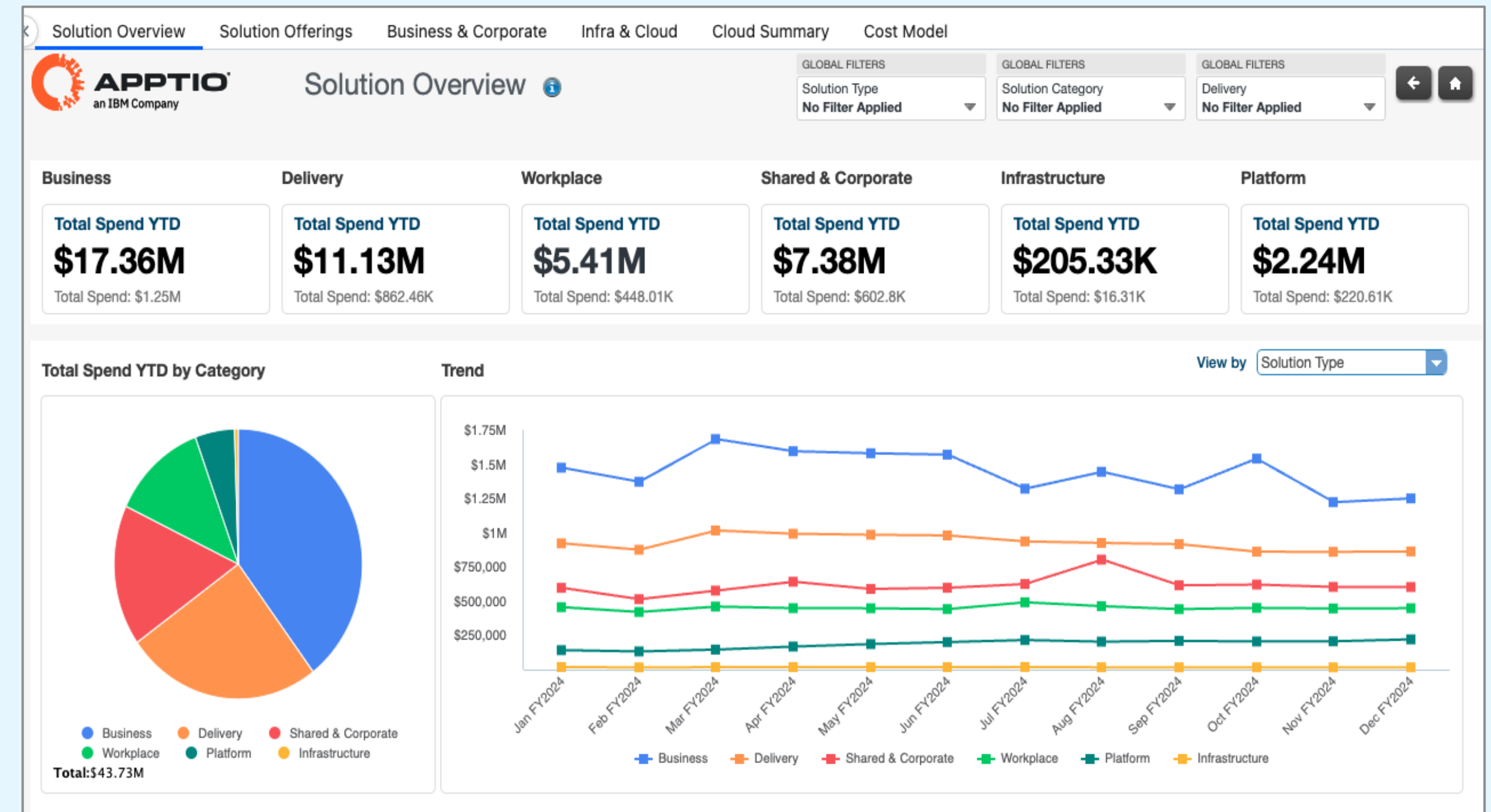


Smart reporting

Intelligent reports to drive strategic
IT spend decisions

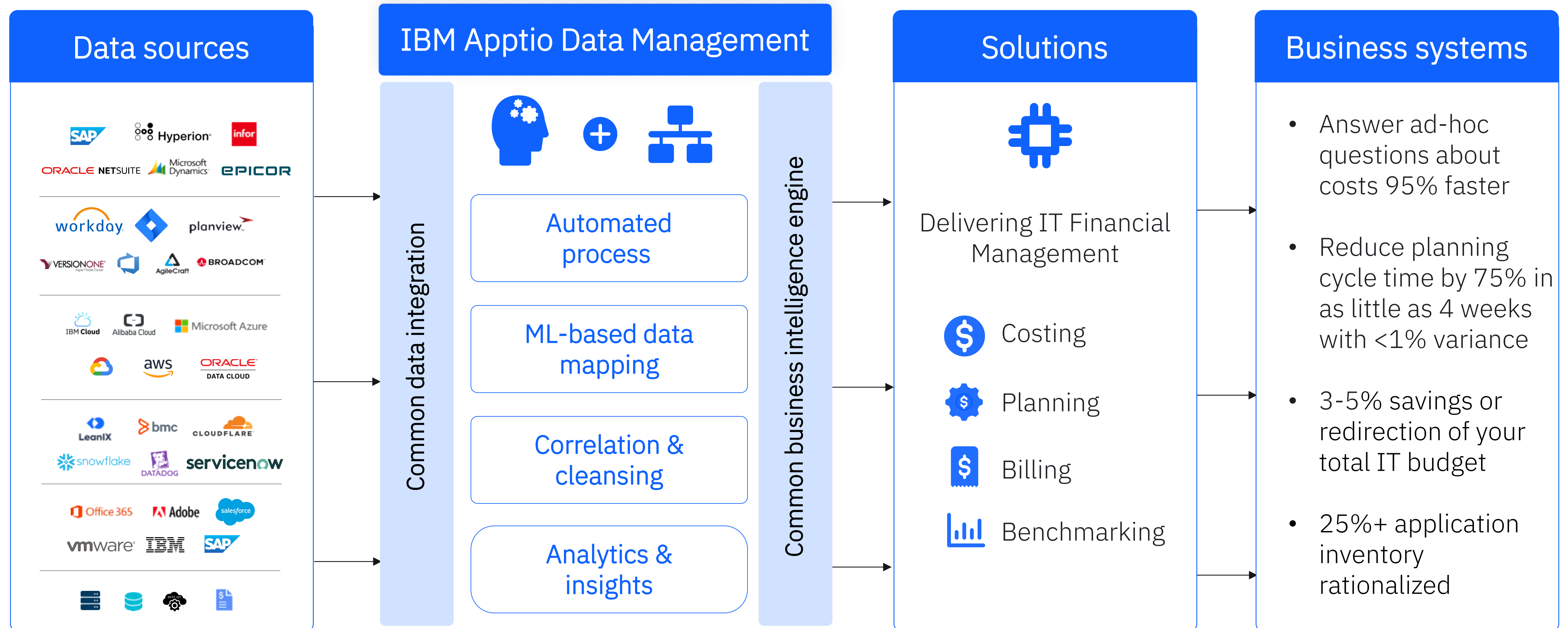
Purpose-built, best-in-class reports and dashboards for
all C-Level, IT Finance, and other users to:

- Establish an ITFM foundation
- Identify areas for cost reduction & optimization
- Accelerate planning and forecasting cycles
- Enhance accountability with stakeholders
- Align IT spend to business objectives and priorities
- Accelerate digital transformation



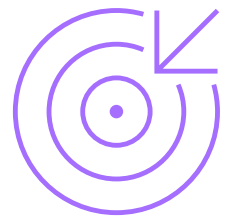
Data, modelling and reporting: What IBM Apptio does best?

Driving simplicity through automation



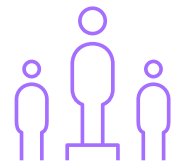
IBM Apptio portfolio

Trusted source of truth



Costing

Tech Leaders,
IT Finance



Proactively manage and understand IT spend, reduce waste, and align tech investments to strategic priorities



Billing

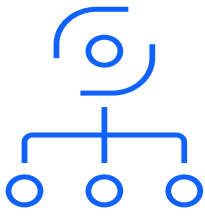
Tech Leaders, IT Finance,
IT Infra Mgr / Service Owner

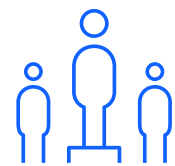


Eliminate labor-intensive manual billing and empower business leaders to reduce consumption



Planning



Tech Leaders,
IT Finance

Create a repeatable, accurate, and collaborative planning process and reduce time spent forecasting & accelerate frequency

Benchmarking



Tech Leaders,
IT Finance

Understand how you compare to peers, justify and defend costs to enable informed decision-making

Benefits of IBM Apptio over other tools

Other tools

- Require high manual effort, prone to errors, and lack automation and version control
- Have limited market presence and immature product offerings
- Suffer from low brand recognition and limited scalability
- Often involve complex, costly implementations and are not tailored for IT financial management

IBM Apptio

- Automated data connections, allocation models, reduces errors, improves accuracy, and provides visibility
- 17+ years of leadership, 1,820+ TBM deployments, scalable teams, robust roadmap
- Strong market awareness, proven scalability, trusted by global enterprises
- Tailored for IT finance, automated integration and allocation, complete portfolio

IBM Apptio remains the trusted industry ITFM leader

"With IBM Apptio, organizations gain a competitive edge through its proven ability to deliver financial transparency, accountability and deliver on key IT Financial Management capabilities.

The IBM Apptio solutions allow businesses to optimize technology investments while enabling a more agile and informed decision-making process."

- Steven Dickens, Chief Technology Advisor,
the Futurum Group

1800+
Customers

60%+
Fortune 100

\$650B
IT spend managed



IBM Apptio (formerly Cost Transparency / ApptioOne): G2 Enterprise Leader Summer 2024, G2 High Performer Asia & Asia Pacific Summer 2024



IBM Apptio (formerly Cost Transparency / ApptioOne): TrustRadius Top Rated 2024, TrustRadius Best of 2023 - Best Relationship, Best Feature Set, Best Value for Price Winter 2023

Bank of Ireland reduces IT cost and complexity through application portfolio management



“The power of IBM Apptio in terms of giving us that granular level of financial detail that feeds into how roadmaps are actually funded, what the return on investment is — that's been hugely beneficial.”¹

Ronan Hughes
Principal Architect

Goal

- To implement a more functional and transparent Application Portfolio Management strategy to better manage costs, efficiency, and strategic decision-making across the IT estate

How

- Conducted a detailed assessment of the application estate
- Selected IBM Apptio after a successful 4-week proof of concept
- Implemented IBM Apptio starting March 2021
- Enabled five core APM capabilities such as cost and efficiency management, portfolio investment strategy, transformation roadmap, sourcing and technology strategy

Results

- Achieved €2.5 million in savings in the first year
- Gained transparency and control over the application portfolio
- Shifted from reactive to strategic, data-informed decision-making

Global client base

Cosmetics



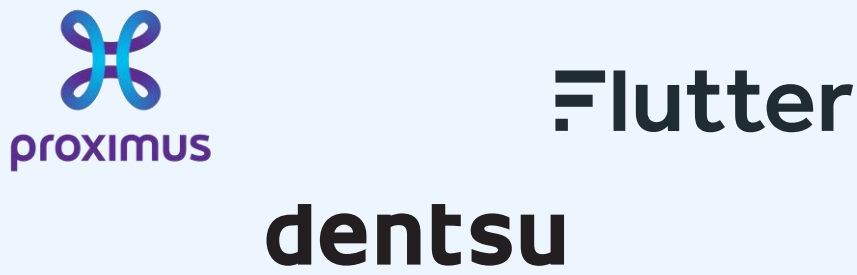
Banking



Software & Technology



Mobile & Entertainment



Financial services



Education & Healthcare



Transport



Construction



Manufacturing



Insurance



Energy & Utilities



Government



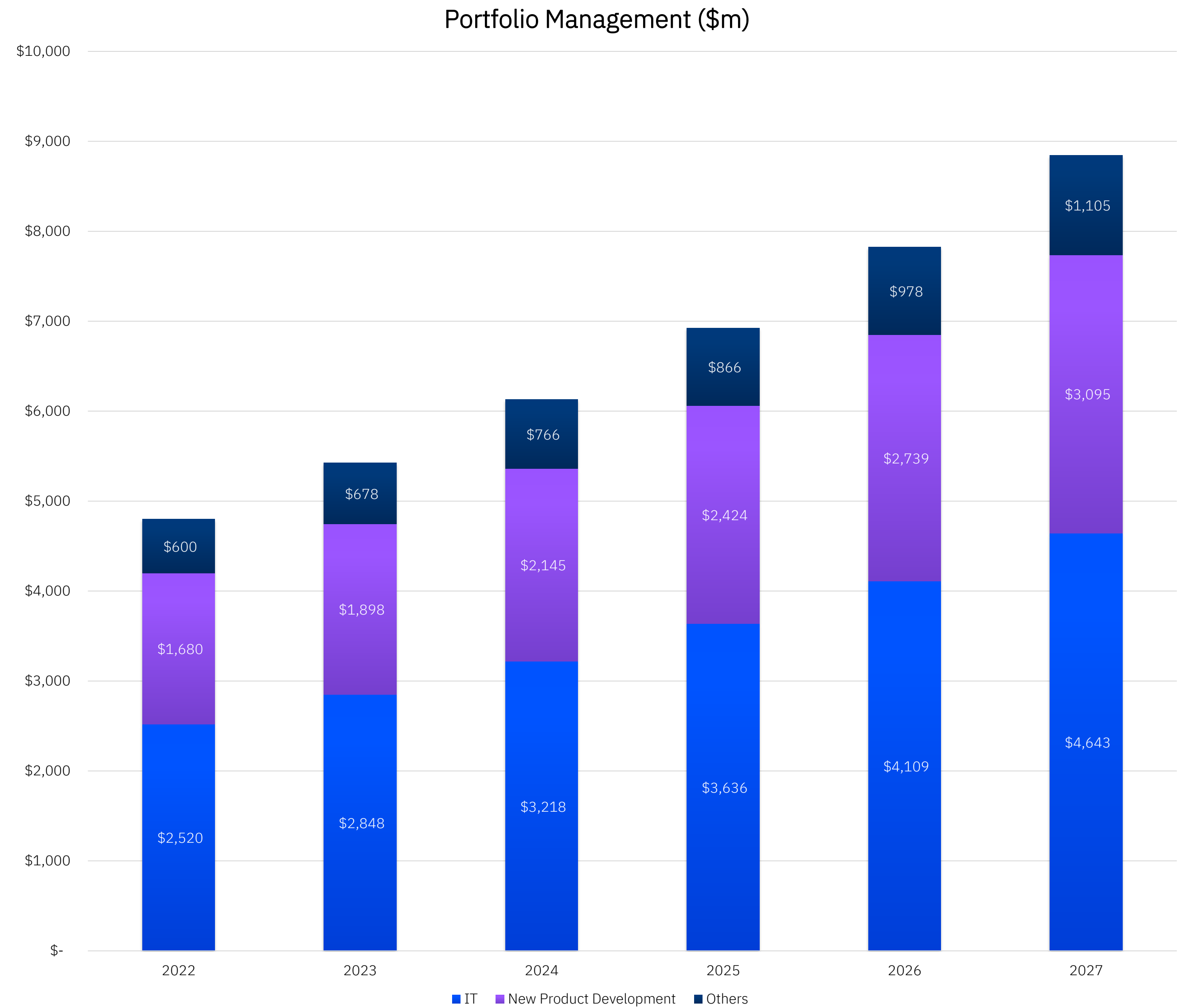
IBM Targetprocess

Strategic Portfolio Management

70% of digital transformations fail to achieve their objectives¹

Only 35% of organizations say they can effectively translate strategy into execution²

Market for
Strategic
Portfolio
Management
is massive!¹



Challenges executing on strategy today result in...

Disconnected strategy and execution



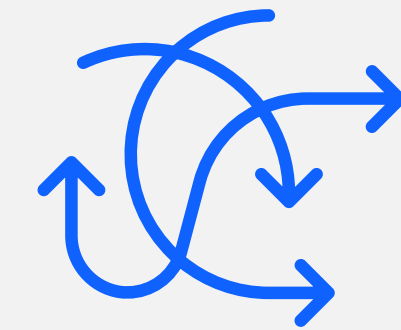
- No unified way to connect strategic goals with project execution across teams
- Misaligned priorities lead to conflicting efforts and wasted resources
- No clear connection between execution and measurable business outcomes

Limited visibility across portfolios



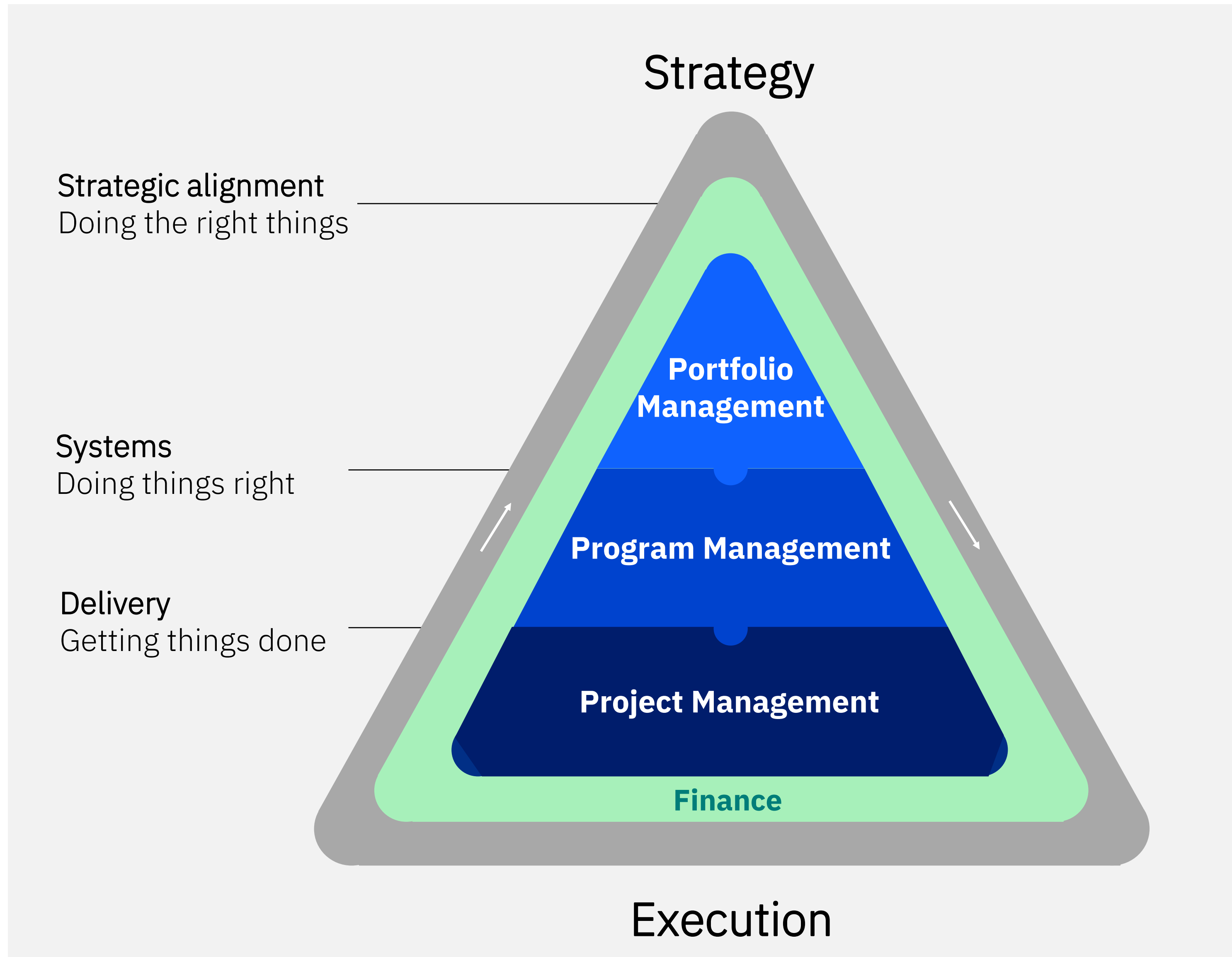
- Siloed portfolio and resource data creates fragmented insights
- Incomplete views delay decision-making and hinder prioritization
- Leaders struggle to assess portfolio performance and reallocate resources effectively

Lack of flexibility to adapt



- Rigid systems make it difficult to adjust plans as priorities shift
- Teams cannot efficiently coordinate across traditional, agile, and hybrid methodologies
- Manual processes for resource and funding adjustments slow responsiveness to change

What is Strategic Portfolio Management?



Strategic Portfolio Management connects **strategy to execution** by ensuring resources, investments, and initiatives are aligned with business goals to deliver measurable outcomes.

Key components

Portfolio visibility

Holistic view of all investments, projects, and initiatives across the organization

Alignment to strategy

Prioritize work with business goals and KPI

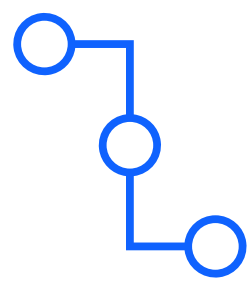
Capacity planning

Allocate funding, talent, and assets to the most impactful initiatives

Agile execution/scaling

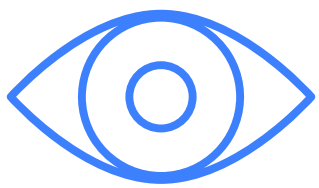
Bridge strategy and delivery by connecting portfolios to scale/execute frameworks like SAFe

Connecting strategy to execution with SPM



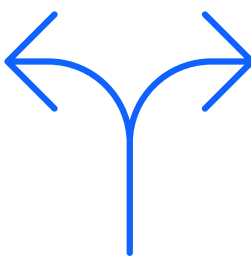
Alignment

Ensures that strategic goals are clearly translated into execution.



Transparency

Consolidates portfolio, resource, and financial data into a single source of truth.



Agility

Supports coordination across delivery models such as traditional, agile or hybrid.

Transforming fragmentation into impactful business outcomes

Accelerated strategic execution

Faster delivery on strategic priorities through reduced delays, improved alignment, and real-time visibility.

Higher-value investment

Continuous funding optimization and resource reallocation based on business impact to prioritize what matters most.

Greater agility

Proactive resource adjustments and dynamic planning to stay aligned with evolving business needs and avoid wasted spend.

Smarter budgeting and cost control

Smarter financial management by tracking investments against measurable outcomes with built-in accountability.

Stronger cross-functional collaboration

Seamless coordination across IT, finance, and business teams to accelerate time-to-value and drive unified execution.

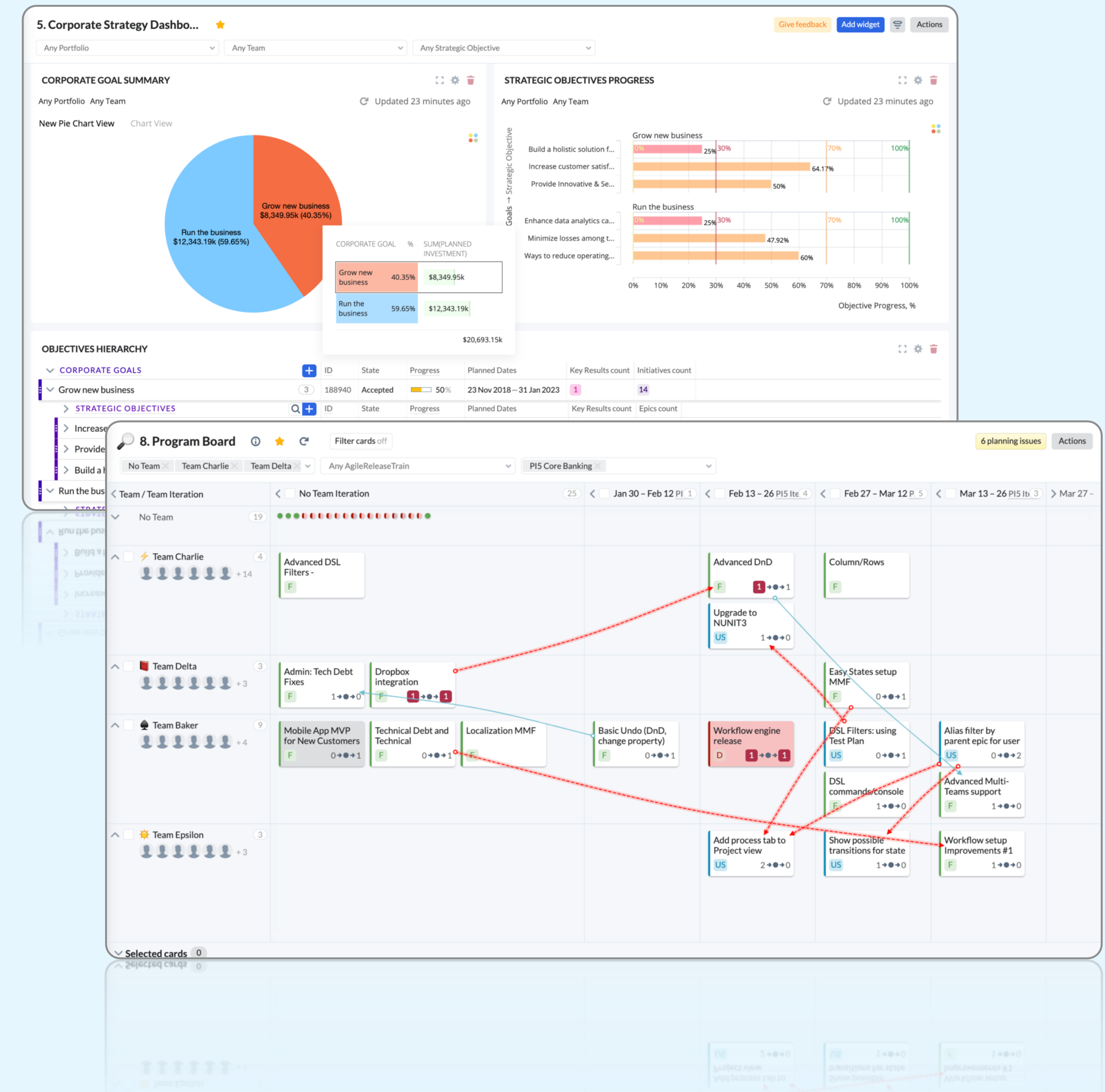
IBM Targetprocess

Connect strategy and execution for enterprise alignment

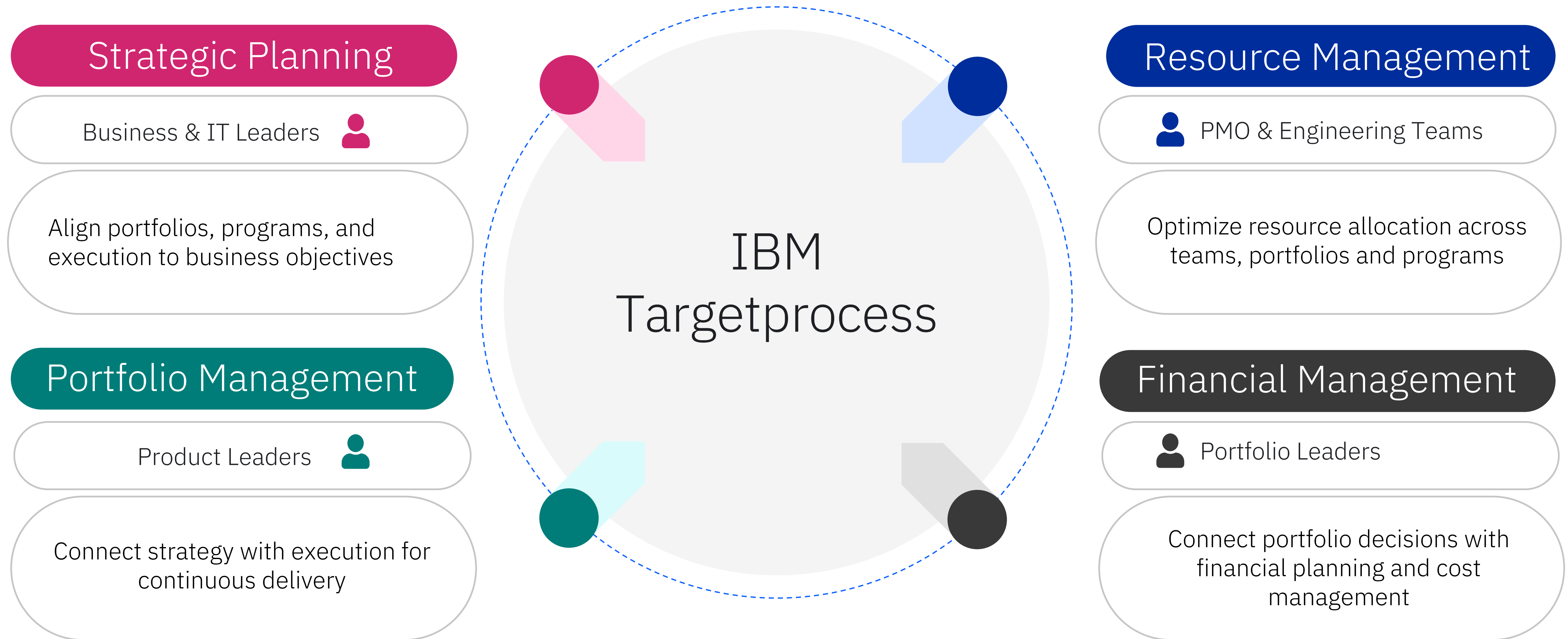
IBM Targetprocess enables organizations to dynamically plan and manage work, resources, agile programs, investments, and portfolios while ensuring all are continuously aligned to strategy.

Targetprocess enables organizations to:

- Align across the business
- Maximize productivity and efficiency
- Accelerate decision-making



IBM Targetprocess - core solutions



Benefits of IBM Targetprocess over other tools

Other tools

- Weak support for agile/hybrid, built mainly for traditional PPM
- Limited features in basic packages, rigid architecture, outdated UI
- Inflexible with long implementation times and steep learning curve
- Fragmented, complex multi-tool experience
- Limited financial capabilities, lacks flexibility, not suited for smaller organizations
- Bundled pricing leads to tool overlap and highly technical customization required
- Poor connection between strategy, funding, and execution

IBM Targetprocess

- Flexible and tool-agnostic; supports hybrid delivery and SPM
- Modern, intuitive UI and easier adoption across teams
- Faster implementation, easier to adopt and integrates easily with existing tools
- Unified platform and seamless integration
- Strong financial management and adaptable for various organization sizes
- Purpose-built for SPM, customizable without heavy technical overhead
- Better alignment of strategy, funding, and execution

IBM Targetprocess

Recognized as a leader in SPM



APPTIO
an IBM Company

IBM Targetprocess Recognized as SPM Market Leader

Research In Action, Vendor Selection
Matrix™ Strategic Portfolio
Management 2024-2025





IBM Targetprocess helps Lowe's become more Agile and increase speed to market



“ Since we are funding things at a product perspective, reviewing things from a product perspective, we can increase speed to market.”¹

Chris Ross

Manager of Technology Finance

Goal

- Modernize the annual investment planning process
- Increase the value of delivery
- Operate with value-driven focus
- Drive sustainable growth

How

- Adopted Agile across the organization
- Combined financial and operational data into a unified cost model to improve visibility into IT spend
- Dynamically aligned work, resources, and portfolios to evolving Agile strategies
- Integrated tools to support a product-centric approach and foster better collaboration between IT and finance
- Simplified the forecasting process

Results

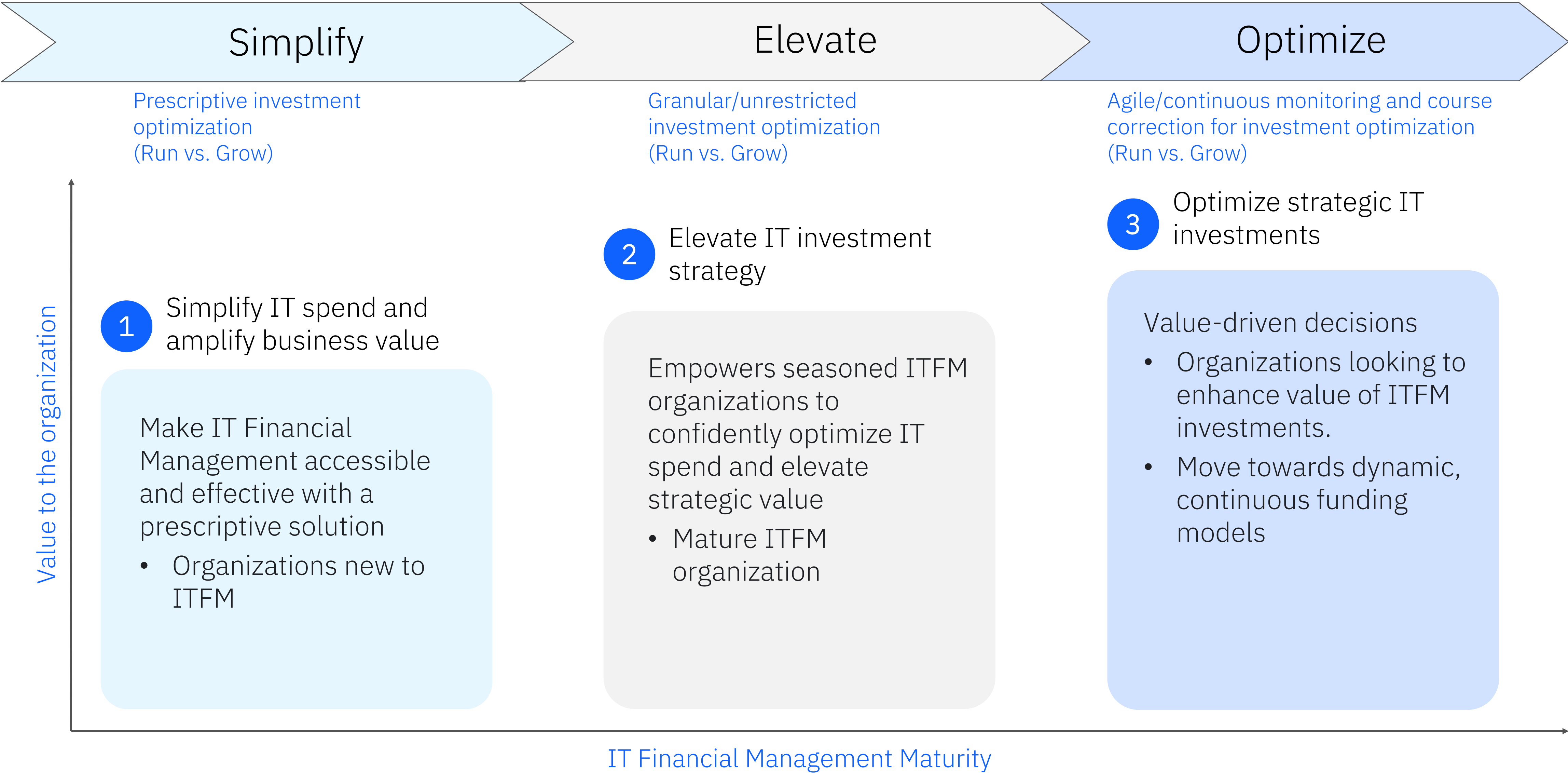
- Accelerated speed to market by enabling rapid adjustments based on shifting market condition
- Increased team productivity and strategic alignment
- Rationalized applications, reducing legacy application pool by 10%

Global client base

Oil and gas 	Banking 	Software & Technology 	Mobile & Entertainment 
Financial services 	Education & Healthcare 	Telecommunications 	Manufacturing 
Wholesale & retail 	Insurance 	Energy & Utilities 	Government 

ITFM and SPM
better together

ITFM and SPM value-based foundation



Integrating ITFM and SPM to drive business value

Challenges

Siloed data and visibility gaps



Misaligned priorities



Inefficient planning



Missed opportunities and wasted spend



Strained business relationships



Key benefits

Single source of truth

Establish a single source of truth to improve transparency and decision-making

Aligned strategy and spending

Align strategic goals and optimized allocation of resources and funding

Improved forecasting and financial agility

Enhance forecasting accuracy and enable more agile financial responses.

Optimized resource utilization

Improve resource utilization and investment decisions to maximize business impact.

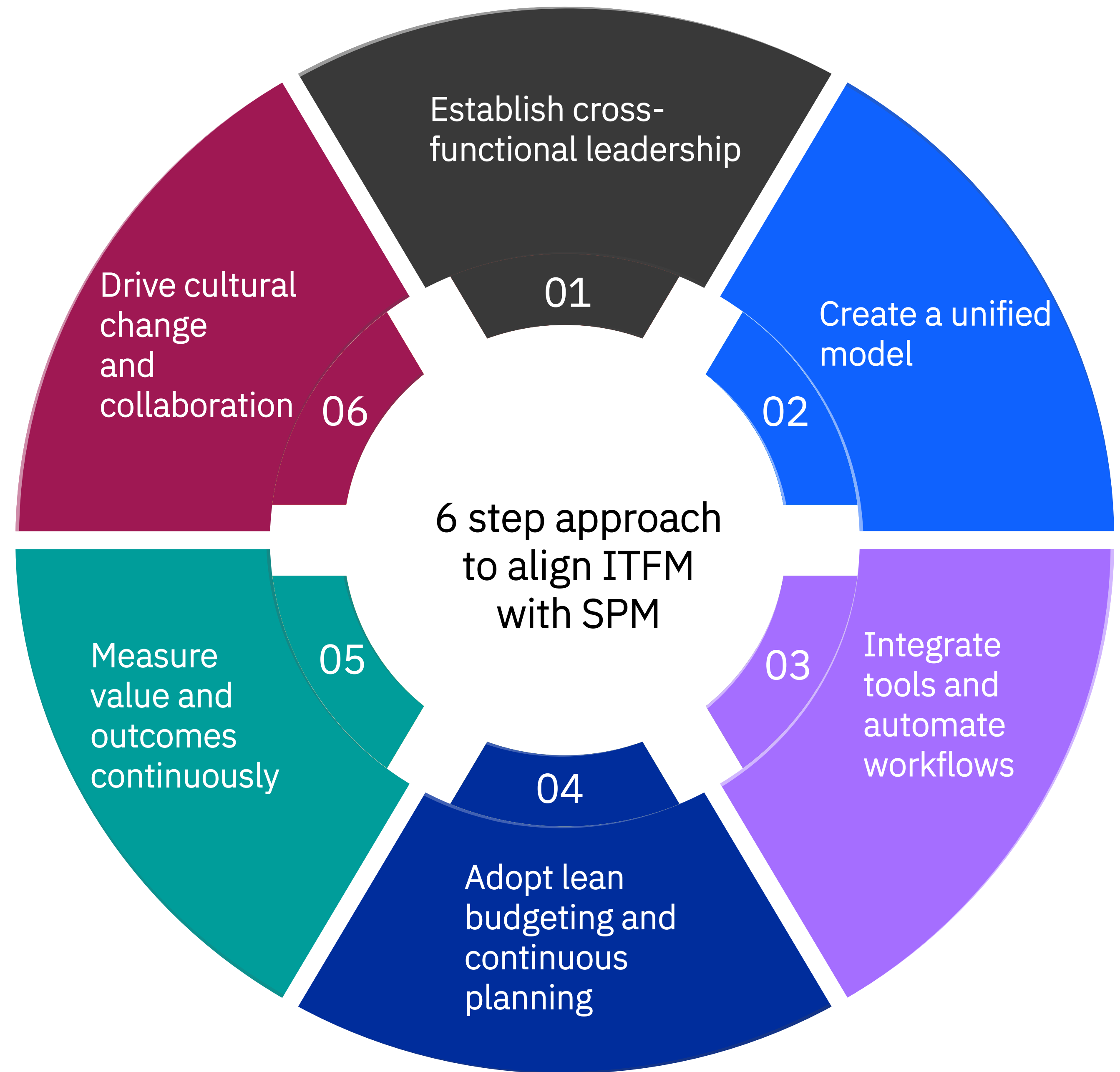
Greater transparency and trust

Foster trust and collaboration across IT, finance, and business teams through greater transparency.

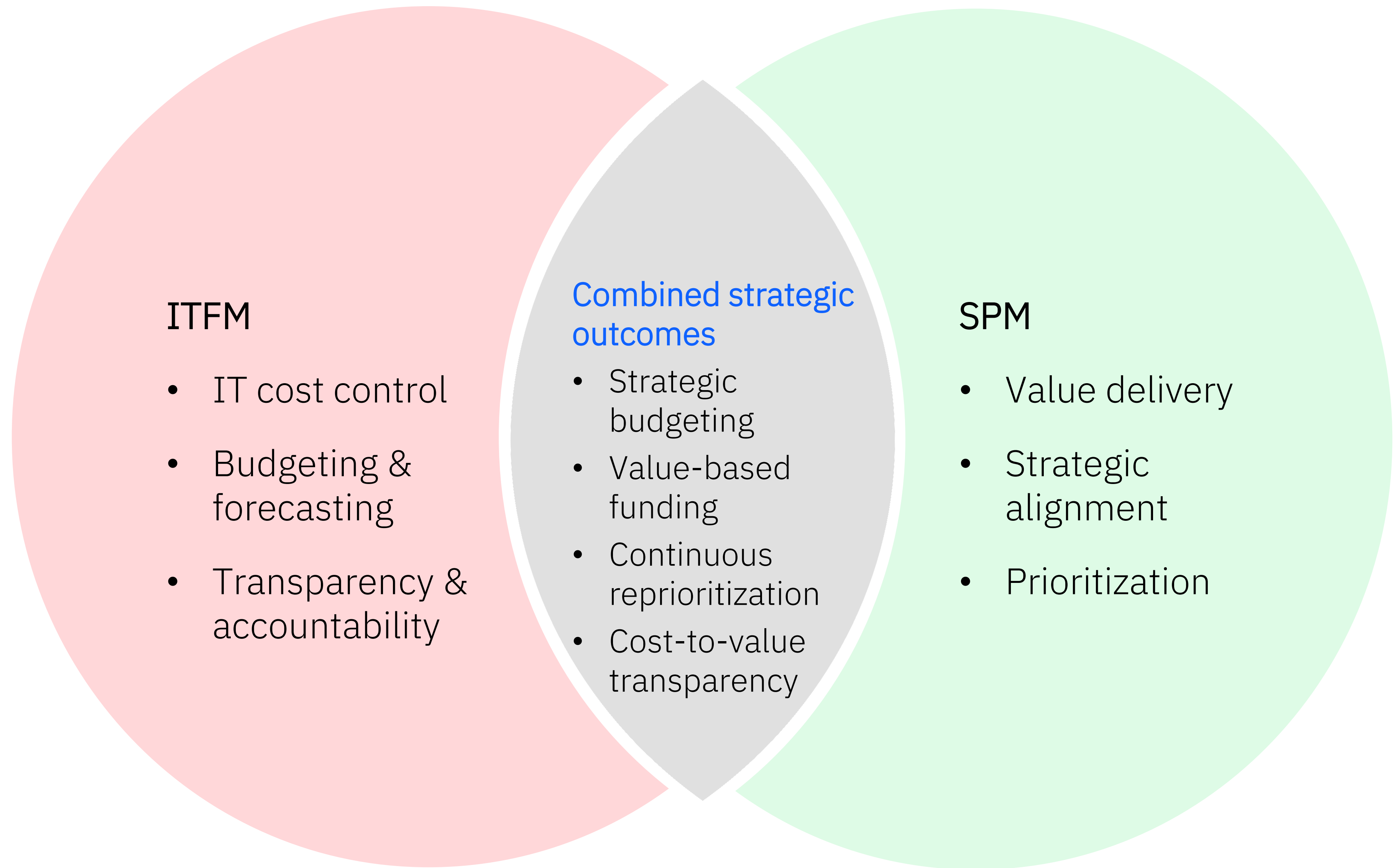
Aligning ITFM and SPM

To drive strategic alignment and business impact, it emphasizes the importance of:

- Leadership
- Unified data
- Integrated tools
- Agile financial practices
- Continuous value measurement
- Cultural transformation



Maximizing value of IT spend



Get started with IBM

1

Let's talk...

Schedule some time with me to learn more about the capabilities of IBM Apptio and Targetprocess

2

Let's share...

With other business leaders in the organization

3

Visit and learn more at

apptio.com



Thank you

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